Business Choices

Exam code: 9BS0

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Updated on 31 August 2025

Definition of opportunity cost

- **Opportunity cost is the loss of the next best alternative when making a decision**
  - Due to the **problem of scarcity**, **choices have to be made** about how to best **allocate limited resources** amongst competing wants and needs
- There is an **opportunity cost** in the allocation of resources
  - When a **consumer** chooses to purchase a **new phone**, they may be **unable to purchase new jeans**. The jeans represent the loss of the next best alternative (**the opportunity cost**)
  - When a **business** decides to allocate all of its resources to **producing electric vehicles**, it may be **unable to produce petrol vehicles**. The petrol vehicles represent the **loss of the next best alternative** (the opportunity cost)
  - When a **government** decides to **provide free school meals** to all primary students in the country, it may be **unable to fund some rural libraries**, which may have to close. The libraries represent the loss of the next best alternative (**the opportunity cost**)

Business choices and trade-offs

- An understanding of opportunity cost may **change many decisions** made by businesses
- Factoring the **opportunity cost** into a decision often results in different outcomes and a different **allocation of resources**
- A **trade-off** occurs when two things cannot be fully achieved
  - Having **more of one thing** may mean having **less of another**

Examples of Potential Trade-Offs

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Product	• Choosing to spend money **upgrading an existing product** may result in the loss of the next best alternative, which could be research and development on a new product
Customer sales	• A firm selling organic avocados is offered a **supply contract** by a supermarket that wants to buy all of their stock each month, but at a low price • The supermarket is a **prestigious** customer • The firm decides **not to accept** the contract, as the **opportunity cost** (loss of a prestigious customer) is worth less than the lost revenue to existing customers
Market research	• **Foregoing market research** may help the business to **get its product to market quicker** • However, the trade-off is that the product may not have the features/qualities desired by the market
Business ownership	• Choosing to operate as a partnership will mean that a business loses the benefits of operating as a **private limited company (Ltd)**
Promotional methods	• Businesses have a limited amount of money to spend on promoting their products. Choosing to **sponsor an elite athlete** means that the business may have to **give up other forms of promotion**, such as radio advertising
Pricing strategy	• If a business decides to use a **competitive pricing strategy**, it loses the opportunity to **price-skim**

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